

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: September 14, 2026

Latest financials: Q3 FY2026 · Model data as of 2026-09-14

OVERWEIGHT

Composite · Valuation: OVERWEIGHT

Target \$131.85 · +18.7% upside

Price \$111.12

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$131.85 (+18.7% vs \$111.12); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Strong top-line growth (17.6% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                   | Wt  |
|--------------|-----------------|------------------------------|-----|
| Valuation    | OVERWEIGHT      | Blended PT \$131.85          | 45% |
| FSA          | Stable          | Health +0.10 · Stable        | 20% |
| Technical    | BULLISH         | Bullish                      | 20% |
| Quantitative | POSITIVE        | Score +0.50 · 12m +70%       | 15% |
| Composite    | OVERWEIGHT      | Score +0.50 · 75% confluence | —   |

Valuation + technical aligned bullish.

INVESTMENT THESIS / EXECUTIVE SUMMARY

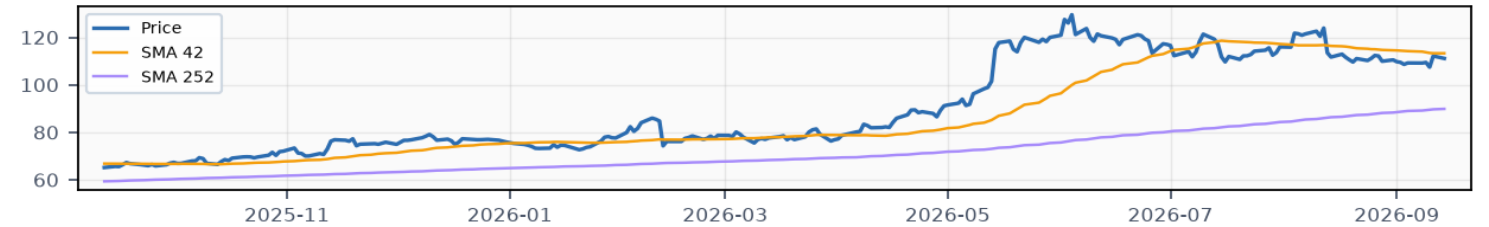
Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies to power, help, secure, and draw insights from the internet in the Americas, Europe, the... **OVERWEIGHT** rating; blended target \$131.85. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value              | Item         | Value    |
|---------------|--------------------|--------------|----------|
| Market Cap    | \$438.10B          | Shares Out.  | 3942.6M  |
| 52-Week Range | \$66.35 – \$130.37 | P/E (TTM)    | 33.4x    |
| P/B           | 8.7x               | Beta         | 0.99     |
| Avg Volume    | 21.20M             | Analyst Rec. | Buy      |
| Revenue (TTM) | \$63.32B           | Rev Growth   | +17.6%   |
| Op. Margin    | 27.7%              | FCF (TTM)    | \$12.77B |
| Gross Margin  | 64.5%              | ROE          | 27.3%    |
| EV/EBITDA     | 24.5x              | Debt/Equity  | 62.0%    |
| EPS (TTM)     | \$3.33             | Div Yield    | 1.5%     |

PRICE TREND · SMA 42 / 252

CSCO · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric             | FY 2025A | FY 2026A | FY 2027E | FY 2028E | FY 2029E |
|--------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)      | 56,654   | 63,325   | 74,470   | 84,203   | 92,539   |
| Revenue Growth (%) | N/A      | 11.8%    | 17.6%    | 13.1%    | 9.9%     |
| Net Income (\$M)   | 10,180   | 13,267   | 15,602   | 17,641   | 19,387   |
| Gross Margin (%)   | 64.9%    | 64.5%    | 64.5%    | 64.5%    | 64.5%    |
| Net Margin (%)     | 18.0%    | 21.0%    | 21.0%    | 21.0%    | 21.0%    |
| EPS (\$)           | 2.58     | 3.37     | 3.96     | 4.47     | 4.92     |
| P/E (x)            | 43.04    | 33.02    | 28.08    | 24.83    | 22.60    |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                             | Metric               | Value  | Notes      |
|--------------------|----------|-------------------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$113.27 | Short-term trend                                                  | 12m Momentum         | +70.5% |            |
| SMA (252d)         | \$89.86  | Long-term trend                                                   | 3m Momentum          | -7.2%  |            |
| RSI (14d)          | 52.9     | Momentum oscillator                                               | Ann. Volatility      | 25.8%  |            |
| Trend              | Bullish  |                                                                   | Sharpe Ratio         | 0.51   | Rf=4%      |
| Golden Cross (20d) | No       |                                                                   | Max Drawdown         | -36.7% |            |
| Death Cross (20d)  | No       |                                                                   | Rel. Strength vs SPY | +37.2% |            |
| TA Signal          | BULLISH  | Price above SMA42; SMA42 > SMA252; SMA42=\$113.27, SMA252=\$89.86 | Quant Score          | +0.50  | POSITIVE   |
|                    |          |                                                                   | SMA Backtest (ann.)  | 22.9%  | B&H; 29.7% |

VALUATION CROSS-CHECK

| Valuation Method  | Implied Price | vs. Current | Weight in | Notes                             |
|-------------------|---------------|-------------|-----------|-----------------------------------|
| DCF (FCFE)        | \$79.30       | -28.6%      | 32%       | Included in blend                 |
| Comps — Blended   | \$161.94      | +45.7%      | 53%       | Included in blend                 |
| Analyst consensus | \$137.62      | +23.9%      | 15%       | Included in blend                 |
| Blended target    | \$131.85      | +18.7%      | 100%      | DCF 32% + Comps 53% + Analyst 15% |

DCF (FCFE) SUMMARY

| Ke    | Terminal g | FCFE growth | Equity value | Implied price | vs. Current |
|-------|------------|-------------|--------------|---------------|-------------|
| 9.46% | 4.00%      | 8.80%       | \$312.66B    | \$79.30       | -28.6%      |

PEER COMPARISON · INDUSTRY CONTEXT

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| ANET   | Arista Networks, Inc.  | \$240.26B  | 60.5x | 51.4x     | 38.4%      | +37.7%     |
| MSI    | Motorola Solutions, In | \$78.79B   | 37.5x | 22.9x     | 17.4%      | +13.3%     |
| JNPR   | JNPR                   | N/A        | N/A   | N/A       | N/A        | N/A        |
| CIEN   | Ciena Corporation      | \$45.92B   | 72.4x | 49.0x     | 10.9%      | +37.0%     |
| CSCO*  | Cisco Systems, Inc.    | \$438.10B  | 33.4x | 24.5x     | 21.0%      | +17.6%     |

\* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.